The Ministry of Defence is always a key ministry involved in decision making on foreign and security policy. It plays a critical role in ties with countries from which India purchases weapons, such as Russia, France, Israel and even the United States. The presence of the Indian military in several countries as part of United Nations Peacekeeping Missions requires coordination between the Ministry of Defence and the Ministry of External Affairs in dealing with both the UN and the countries concerned.

The role of the Ministry of Defence in foreign policy is likely to expand as India tries to modernize its forces and plans to spend around US $250 billion on acquisition and building of military equipment. The subject has led to some tension between the Ministry of Defence and the Ministry of External Affairs. Diplomats often advocate weapons purchases as a means of enhancing ties with countries such as the US whereas defence officials prefer building weapons at home. The MoD's policies have led to India supporting local public sector enterprises even when they produce costlier weapons that take a long time to deliver. The Modi government's emphasis on 'Make in India' even in the defence sector reflects this indigenization policy that is often criticized by diplomats and national security experts.

India's defence ministry establishment is even less flexible than the foreign service mandarins. Unlike the US or the UK, the civilian-led Ministry of Defence plays a greater role than the services headquarters. This has led to a growth in the role of the Ministry of Defence in foreign and security decision making but civilian bureaucrats, not uniformed officers, exercise that influence. Service headquarters have always complained that the civilians in the ministry and even the diplomats of the Ministry of External Affairs have more say on strategic issues than their uniformed counterparts. Unlike the American system, the Indian services have rarely been allowed a structured vertical and horizontal role to send input into the system.